

dustry is worth more than the third-best company in a major industry. I'd rather own shares of Hokuto, the leading mushroom grower in Japan, than of Mitsubishi Motors or Subaru.

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The best company in a marginal industry is worth more than the third-best company in a major industry.

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The types of niches, too, haven't changed in the twenty-five years I've been in the batter's box: they can be technological, based on marketing prowess, or reflect a geographical monopoly or near monopoly, like that of a TV station, newspaper, or regional shopping mall. Nobody can import the *Home Town Gazette* from Taiwan.

Glamour has nothing to do with a niche's appeal. A dull business run by a good businessman is far better than a glamorous business with mediocre management. And even if the glamorous business is run by a genius, often, in that kind of industry, its competitors are also geniuses, so nobody has an advantage, as I've commented about high-tech companies.

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Usually the market pays what you might call an entertainment tax, a premium, for stocks with an exciting story. So boring stocks sell at a discount. Buy enough of them and you can cover your losses in high tech.